

the organised market is expected to grow to 40 per cent. Sahni says two things are happening—the market is expanding, which means more brands are required; and more and more people will graduate upwards into branded retail formats.

This is ABG's third major foray into a new business in the last two years after paints, and B2B e-commerce for building materials. The conglomerate, which has been building up its fashion and apparel retail business Aditya Birla Fashion and Retail Limited with a string of mass and luxury brand acquisitions since 2019, is expanding its consumer businesses further with the entry into gold jewellery. "This foray (branded jewellery) is a strategic portfolio choice that allows us to tap into new growth engines and expand our presence in the vibrant Indian consumer landscape," Kumar Mangalam Birla, Chairman of Aditya Birla Group, had said.

"Jewellery is a trust- and design-driven business, versus fashion that is primarily design-driven. Brand creation takes much longer than other discretionary categories. From that backdrop, expecting any impact on Titan Company (of which Tanishq is a part) at this stage would be too soon," says Abneesh Roy, ED at Nuvama Institutional Equities.

The large conglomerates can afford to pump in, say, ₹200 crore into better design and still make money because of their scale, says Sahni. "On the other hand, a lot of other jewellers don't focus too much on design because people don't want to pay much for design." ABG, which has already begun advertising for positions, has at least six design-related positions it plans to hire for.

The Technopak report states that Indian jewellery demand is heterogeneous and is influenced by strong regional preferences, with the southern region contributing 40 per cent to consumption. **BT**

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INFRASTRUCTURE

Funnelling Progress

NaBFID has been mandated with evolving and deepening India's infrastructure investments pipeline. Will it succeed?

BY ANAND ADHIKARI

► **IN THE LATE** 1990s, the newest development finance institution, or DFI, IDFC Ltd, had the herculean task of guiding private investments into the infrastructure segment that was grappling with policy uncertainty, evolving regulations, and a lack of long-term finances. Back then, the telecom sector was still in its infancy, as were private power produc-

their purpose of industrial financing in the '80s and '90s, by supporting many of the core industries that came up in India during the time. Now, the government is counting on the National Bank for Financing Infrastructure and Development (NaBFID)—set up in April 2021 and operationalised in Q1FY23—to revisit the infrastructure space with new innovations and business models. The question now, is whether it can scale up to meet the growing funding needs of a fast-growing economy.

To start with, the upfront equity injection of ₹20,000 crore by the government will aid NaBFID in quickly ramping up its assets book. In fact, NaBFID—which has sanctioned ₹25,000 crore in less than a year of its operations—is targeting a disbursement of ₹60,000 crore in FY24. The aim is to reach ₹1 lakh crore in terms of sanctioned amount by FY24. Clearly, NaBFID's scale is a big differentiator.

Second, the erstwhile DFIs as well as the commercial banks were a little ahead of their time for infrastructure financing, as the policy was still evolving. But today, the road sector, especially with HAM (hybrid annuity model) projects—where the concessioning authority shares a portion of the total project cost during the construction

₹1 LAKH
crore

**AMOUNT OF MONEY
NABFID IS TARGETING
TO SANCTION BY
FY24-END**

ers, who were dealing with uncertainty in fuel linkages, and loss-making electricity distribution companies. The infrastructure-focussed IDFC Ltd. was the newest addition to the ranks of erstwhile ICICI Ltd and IDBI Ltd, which were set up to finance industrial projects, but later converted into commercial banks. IDFC, too, followed suit in 2014, by converting into a banking entity.

The earlier DFIs did serve